MARKETBEAT PHOENIX
MULTIFAMILY Q4 2024

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
7.0% Vacancy Rate	▲	▲
13.2K Net Absorption, units	▲	▲
$1,621 Effective Rent, PSF	▼	▲

(Overall, All Property Classes)

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▲	▲
3.3% Phoenix Unemployment Rate	▼	▲
2.3% Phoenix Household Growth Rate	▼	▲

Source: BLS

ECONOMY: PHOENIX REMAINS RESILIENT

In Q4 2024, the Phoenix market recorded an employment level of 2.5 million jobs and the unemployment rate decreased significantly from 3.8% in Q4 2023 to 3.3% in Q4 2024. This unemployment rate is well below the national average of 4.2% and equals the second-lowest rate of any major city with employment exceeding 2 million jobs. The metro area continues to record strong growth, as the number of households increased by 2.3% year-over-year (YOY) to 2.0 million. Strong wage growth continues to bring job seekers back into the labor market, as the median household income reached $93,200 in Q4 2024, an increase of 3.9% YOY. In comparison, the Consumer Price Index in the Phoenix area has risen 1.6% YOY according the Bureau of Labor Statistics.

SUPPLY & DEMAND: POSITIVE ABSORPTION CONTINUES

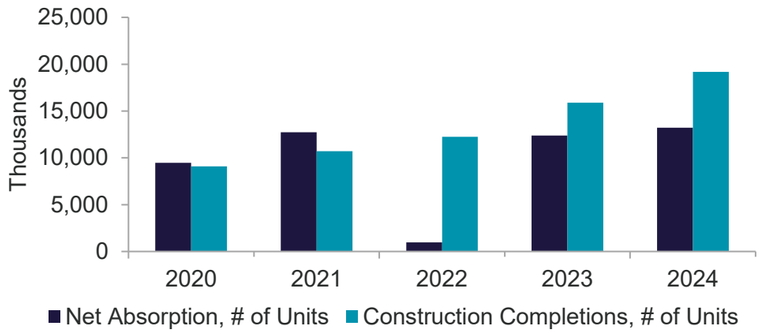
The metro Phoenix multifamily market finished 2024 with strong rental demand, despite a historical record number of new units coming to the market. Vacancy increased slightly quarter-over-quarter (QOQ), from 6.6% in Q3 2024, to 7.0% currently. This vacancy rate remains above the 10-year average of 5.5%. Net absorption remains positive for the eighth consecutive quarter, as 2,385 units absorbed. The Northwest Valley submarket recorded the largest net gains in positive absorption (939 units) in the fourth quarter.

Multifamily deliveries continued to saturate the multifamily market in 2024, however, with over 19,000 units completed across 79 properties in metro Phoenix. The completions were located across the entire market, with the highest concentration of units delivered in the Glendale/West Valley submarket (3,810 units).

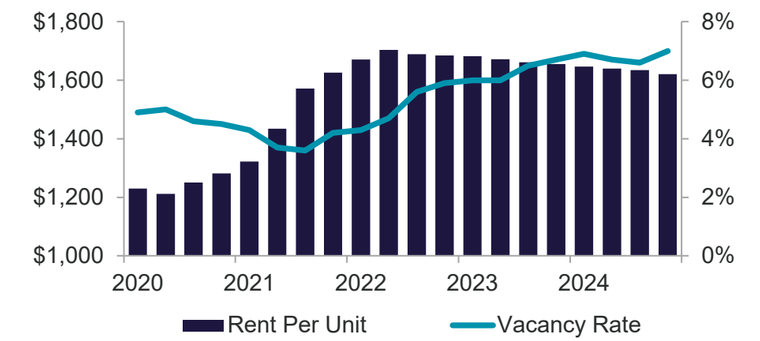
PRICING: AVERAGE RENTS ON STEADY DECLINE

Asking rents fell slightly for the tenth consecutive quarter in Metro Phoenix. Effective rates have decreased from $1,631 per unit in Q4 2023 to $1,621 per unit in Q4 2024, a 0.6% YOY decrease. Despite recently falling rates, asking rents remain up 34% since the end of 2019. Concessions are also becoming more common, with 19% of properties currently offering lease concessions, up from 15% a year ago.

DEMAND / DELIVERIES



OVERALL VACANCY & EFFECTIVE RENT



Source: Yardi Matrix

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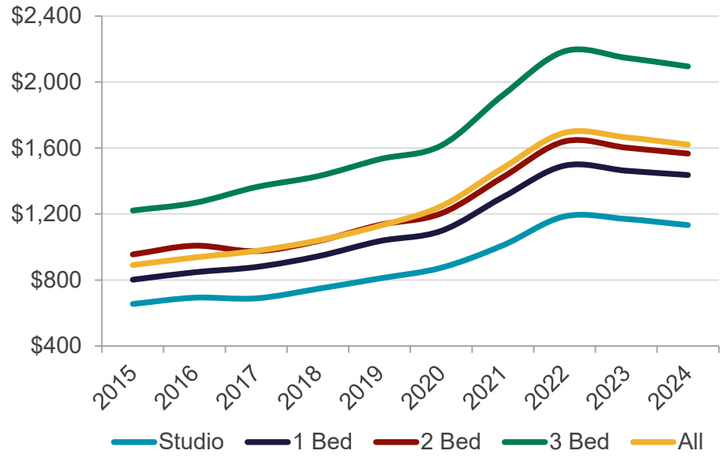
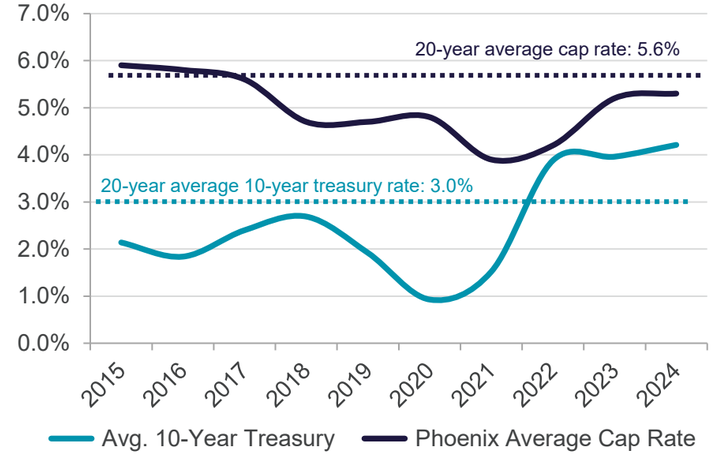
AVERAGE RENT PER UNIT HISTORY (1)

ALL UNIT TYPES HAVE RECORDED RATE REDUCTIONS SINCE 2022. ON AVERAGE, PRICES HAVE DECREASED 4.3% IN TWO YEARS.



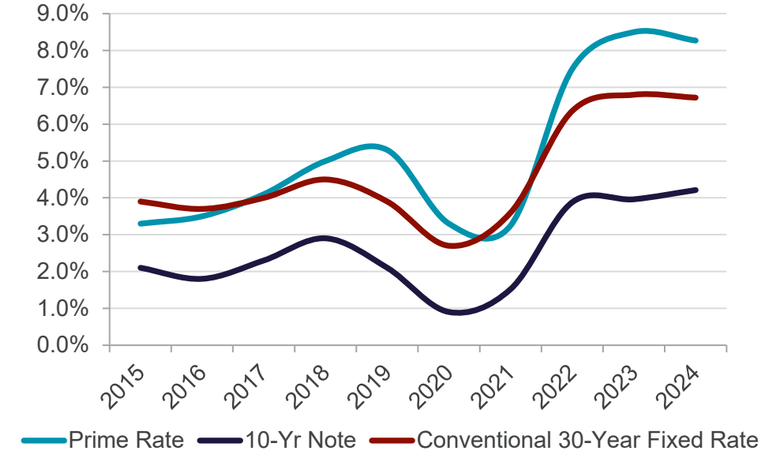
AVERAGE CAP RATE (2)

THE 10-YEAR U.S. TREASURY RATE IS ABOVE THE HISTORICAL AVERAGE OF 3.0% AND METRO PHOENIX CAP RATE IS BELOW THE HISTORICAL SPREAD OF 5.6%



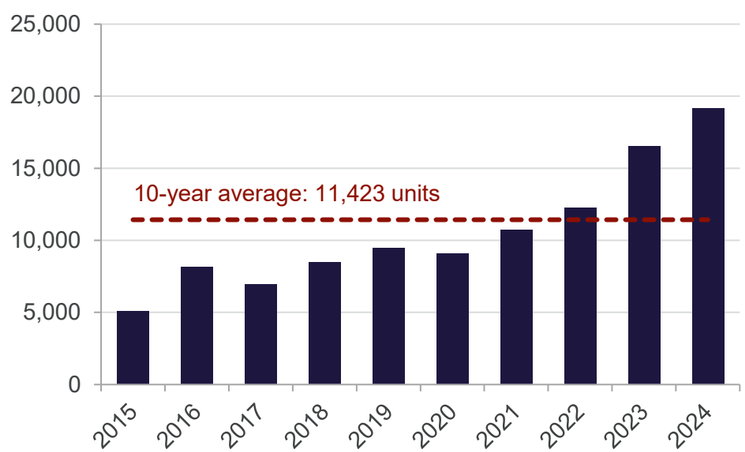
INTEREST RATES (3)

FEDERAL FUNDS TARGET RATE FORECASTED TO EASE BY 50 BASIS POINTS THROUGHOUT 2025



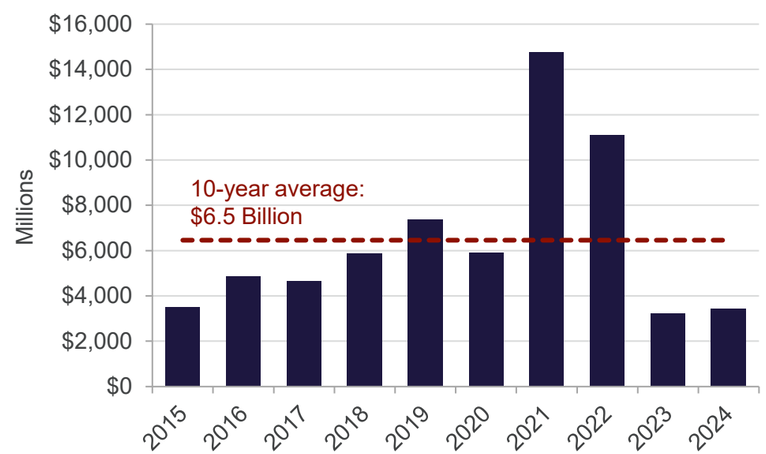
NEW INVENTORY (4)

TOTAL NUMBER OF NEW INVENTORY UNITS COMPLETED IN 2024 WAS 68% HIGHER THAN THE 10-YEAR ANNUAL AVEARGE OF 11,423 UNITS



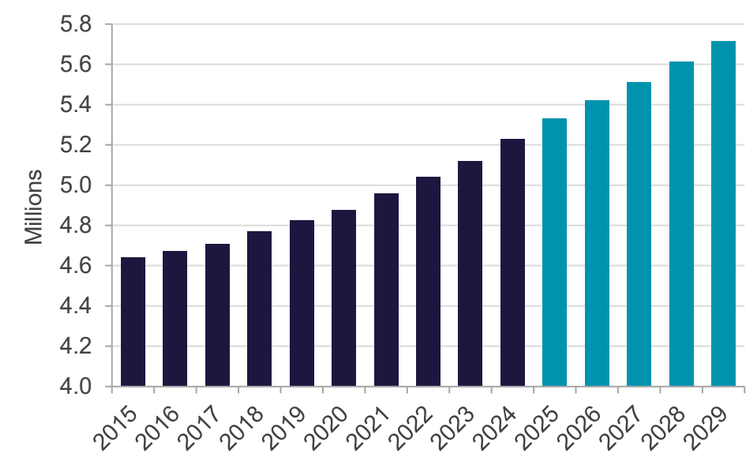
SALES TRANSACTION VOLUME (5)

TOTAL TRANSACTION VOLUME OF 58 PROPERTIES IN 2024 IS 54% OF THE 10-YEAR ANNUAL AVERAGE OF $6.5 BILLION



POPULATION (6)

POPULATION IS PROJECTED TO GROW SIGNIFICANTLY THROUGH 2029



(1) Yardi Matrix, Cushman & Wakefield
(2) Yardi Matrix, Federal Reserve Board, Cushman & Wakefield
(3) Federal Reserve Board, Wells Fargo
(4) Yardi Matrix
(5) Yardi Matrix
(6) Moody's & U.S. Census Bureau

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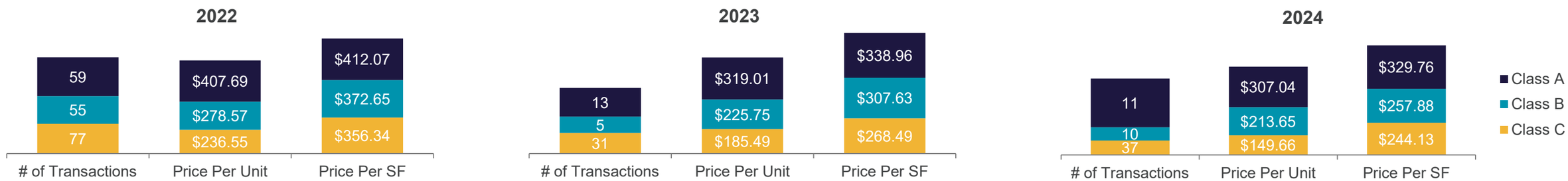
MARKET STATISTICS

SUBMARKET	INVENTORY (UNITS)	YTD DELIVERIES (UNITS)	YTD % INVENTORY GROWTH	UNDER CNSTR (UNITS)	YTD NET ABSORPTION (UNITS)	VACANCY RATE	YOY VACANCY RATE CHANGE (BPS)	AVG EFFECTIVE RENT / UNIT	YOY % EFFECTIVE RENT GROWTH
Ahwatukee	12,362	166	1.4%	1,518	400	6.8%	30	$1,594	-2.2%
Central Phoenix	33,310	959	3.0%	5,478	1,246	7.5%	50	$1,583	-1.0%
Chandler/Queen Creek	40,772	1,897	4.9%	5,467	1,268	6.0%	10	$1,740	-1.9%
East Phoenix	19,203	593	3.2%	320	734	7.2%	50	$1,510	-0.5%
Glendale/West Valley	28,772	3,810	15.3%	7,323	1,808	8.5%	100	$1,487	0.3%
Mesa/Gilbert	41,651	1,426	3.5%	3,800	1,378	6.2%	-70	$1,485	0.3%
Northeast Valley	32,884	2,232	7.3%	5,907	566	6.4%	90	$1,773	0.5%
Northwest Valley	40,828	2,907	7.7%	3,566	1,083	7.8%	100	$1,496	-1.5%
Scottsdale	27,759	1,930	7.5%	1,544	1,507	5.4%	-30	$1,966	-0.2%
Tempe	37,363	1,263	3.5%	3,226	700	6.5%	20	$1,884	-0.2%
West Phoenix	41,296	1,998	5.1%	4,380	2,530	8.8%	10	$1,358	0.0%
MARKET	**356,200**	**19,181**	**5.7%**	**42,529**	**13,220**	**7.0%**	**30**	**$1,621**	**-0.6%**



KEY SALE TRANSACTIONS Q4 2024

PROPERTY	SUBMARKET	SELLER/BUYER	AVERAGE SF	PRICE / $ PSF
San Valiente Luxury Homes	West Phoenix	Blackstone / Brookfield Properties	939	$142.3M / $252
Smith + Rio	Tempe	High Street Residential / Goldman Sachs	850	$106.3M / $433
Clarendale of Chandler	Chandler/Queen Creek	Ryan Companies / Inland Real Estate Group	948	$98.4M / $375
District at Civic Square	Glendale/West Valley	Kaplan Multifamily / Billah Khan	944	$94.5M / $118
Hampton Meridian	Mesa/Gilbert	Paragon Development Group / Carolyn Artis Trust	1,009	$56.5M / $262
The Farmhouse on Estrella	Glendale/West Valley	St. Clair Holdings / M3 Multifamily	1,008	$56.0M / $560
The Crofton at Sheely Farms	West Phoenix	Taylor Morrison / Tower 16 Capital Partners	860	$46.5M / $324
Ardella on 28th	West Phoenix	Tower 16 Capital Partners / Sunstone Properties Trust	785	$28.3M / $144
Copper Point	Mesa/Gilbert	William Walters Company / Continental Realty Group	891	$24.7M / $264
Cholla Ranch Apartments	Glendale/West Valley	Westlake Housing, LP / Dominium	1,125	$18.4M / $86

Source: Yardi Matrix

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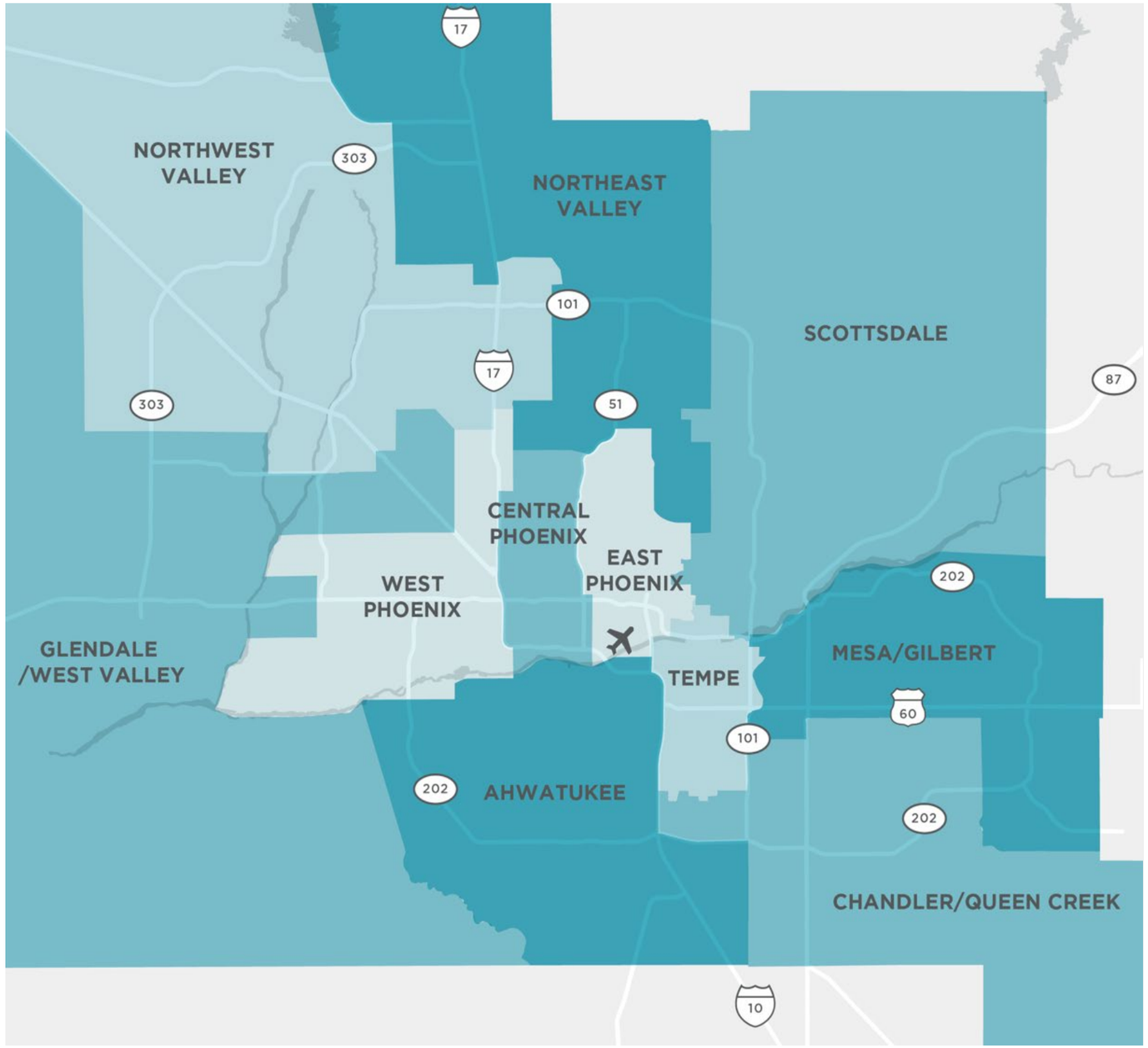
MULTIFAMILY SUBMARKETS



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